

Date: 07 July 2026	Team ID: SB-7429
Project Name: Smart Lender; Applicant Credibility Prediction for Loan Approval	Maximum Marks: 3 Marks

DEFINE PROBLEM STATEMENTS TEMPLATE

Define Problem Statements

Understand the target user segments and define critical problem statements for applicants and lending institutions.

Problem Statement ID	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A loan applicant applying for credit.	Submit my profile details online and get an instant eligibility verdict.	The underwriting review processes take days under manual procedures.	Legacy institutions rely on manual validation of financial and asset documents.	Frustrated, prompting me to look for alternative online lenders.
PS-2	A retail loan risk administrator.	Accurately predict credit default probability to minimize NPAs.	Linear credit scoring rules miss subtle, high-dimensional risk patterns.	Categorical demographics and numerical incomes interact in non-linear ways.	Anxious about approving risky applications or writing off defaults.
PS-3	A credit compliance officer.	Verify the underwriting decision path and applicant demographics.	Auditing historical applications is difficult without transparent logs of input parameters.	Decision databases do not store form parameters alongside final outcomes.	Uncertain during internal checks and regulatory compliance audits.